

GETTSIM Masterclass

Session 2: Policy Reforms in Practice

Finanz- und Sozialpolitik Masterclass

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- Implement and interpret two reform types in GETTSIM.
- Parameter reform: change policy values in the environment.
- Function reform: change policy logic via a replacement function.
- Compare baseline and reform outcomes transparently.

Two Reform Layers

- `policy_environment` is the reform object.
- Parameter reform: replace a parameter object/value.
- Function reform: replace a `@policy_function` node.
- Rule of thumb:
 - change *value* → parameter,
 - change *rule* → function.

Parameter Reform (Notebook A)

- Build `status_quo_environment`.
- Copy environment with `copy_environment(...)`.
- Replace `arbeitnehmerpauschbetrag`.
- Re-run and compare income tax baseline vs reform.
- Sweep over possible values and plot tax response.

Function Reform (Notebook B)

- Copy baseline environment.
- Replace `kinderfreibetrag_günstiger_sn`.
- Reform setting: function always returns `False`.
- Re-run with same inputs and targets.
- Compare tax deltas to baseline.

- Structural check: object/function replaced in environment?
- Behavioral check: outputs move in expected direction?
- Isolation check: what changed and what stayed stable?
- Extensive tutorial:

- https://gettsim.readthedocs.io/en/stable/how_to_guides/modifications_of_policy